ZAKHEERA AI SOLUTIONS (PRIVATE) LIMITED

Performance Review and Appraisal Policy

Goals, ratings, increments, promotions and PIP

Policy ID	ZAI-HR-PR-006
Version	2.3
Effective date	1 July 2024
Policy owner	Human Resources (Talent and Performance)
Applies to	All confirmed employees
Approved by	Chief Executive Officer and Head of Human Resources
HR contact	hr@zakheera.ai | Extension 2200 | HR Helpdesk on the ZakheeraHR portal

1. Purpose and Principles

This policy defines how ZAKHEERA sets goals, reviews performance, rates employees, decides increments and bonuses, supports improvement and handles promotions. The aim is fair, transparent and evidence-based decisions. It applies to all confirmed employees. Probationers follow the probation review in the Onboarding and Joining Guide.

2. Performance Cycle

Period	Activity	Timing
Goal setting	Employee and manager agree 3 to 5 goals (OKRs) in ZakheeraHR	By 31 July for the financial year (1 July to 30 June)
Quarterly check-in	Short conversation on progress and feedback	End of Oct, Jan, Apr
Mid-year review	Formal review of progress, provisional rating not shared	January, completed by 31 January
Self assessment and 360 feedback	Employee self-assessment, 3 to 5 peer feedback providers	1 to 15 June
Manager evaluation and calibration	Manager rating, department calibration and HR review	16 to 25 June
Rating communication	Review meeting and rating sign-off	26 June to 5 July
Increment and bonus	Compensation changes take effect	1 July, paid in the July payroll

3. Goals

- Each employee has 3 to 5 goals, each with measurable key results. Goals are weighted and add up to 100%.
- Goals should be SMART and aligned with team and Company objectives.
- At least one goal must relate to learning or capability development. Managers and employees may update goals mid-year by mutual agreement, with a record in ZakheeraHR.
- Goals are assessed on outcomes and on how they were achieved (collaboration, quality, integrity).

4. Rating Scale

Rating	Label	Description	Target distribution
5	Outstanding	Far exceeds expectations, significant impact beyond role	About 5%
4	Exceeds expectations	Consistently above targets	About 20%
3	Meets expectations	Fully achieves goals and role standards	About 55%
2	Needs improvement	Partially meets goals, gaps in key areas	About 15%
1	Unsatisfactory	Does not meet the minimum standards	About 5%

Distributions are guides used in calibration to ensure consistency across teams. They are not forced quotas. Final ratings are approved by the Department Head and HR.

5. Increment Matrix

The percentage increase on gross salary for the year depends on the rating and the employee's position in the salary range. Figures are subject to Company budget approval each year and are indicative.

Rating	Below range midpoint	At or above midpoint
5 Outstanding	14% to 18%	10% to 14%
4 Exceeds	10% to 13%	7% to 10%
3 Meets	6% to 9%	4% to 6%
2 Needs improvement	0% to 3%	0%
1 Unsatisfactory	0%	0%

Annual performance bonus: Rating 5 earns up to 3 months of basic salary, Rating 4 up to 2 months, Rating 3 up to 1 month, subject to Company results. Ratings 1 and 2 are not eligible. Employees with less than 6 months of service in the review year are not eligible, and those with 6 to 12 months receive a pro-rata amount.

6. Promotions

- Promotion considers sustained performance (rating of 4 or above in the last two cycles, or 5 in the latest cycle), demonstrated capability at the next grade, business need and a manager nomination.
- Minimum time in grade: 18 months for G1 to G3, 24 months for G4 and above. Earlier promotion needs Head of HR and CEO approval.
- Promotions are reviewed twice a year and become effective on 1 July or 1 January. A promotion carries a minimum 8% increase on basic salary and a new title and grade.
- The promotion committee includes Department Head, HR Business Partner and a cross-department leader.

7. Performance Improvement Plan (PIP)

A PIP is used when performance remains below expectations after coaching. It is not a disciplinary action in itself.

- PIPs are triggered by a Rating 1 or 2, or sustained underperformance documented over two quarterly check-ins.
- The duration is 60 days, with weekly check-ins and clear, measurable improvement targets agreed with HR.
- Employees on PIP are not eligible for increments, bonuses, promotions or internal transfers.

- On successful completion, the PIP is closed and the employee returns to normal cycle. If targets are not met, the Company may extend the PIP once for 30 days or begin termination proceedings with notice as per the Exit and Resignation Procedure.
- Employees may bring a colleague or HR representative to PIP review meetings.

8. Feedback, Documentation and Fairness

Managers must provide specific written examples for ratings of 1, 2 and 5. Employees are encouraged to document achievements throughout the year in ZakheeraHR. Biased or retaliatory ratings are a violation of the Code of Conduct. HR reviews ratings for consistency across gender, location and team.

9. Appeals

An employee who disagrees with their rating may appeal in writing to HR within 10 working days of the rating meeting. A review panel (HR Business Partner and a Department Head from another team) examines evidence and responds within 15 working days. The panel's decision is final for the cycle. Appeals do not delay increment processing for other employees.

10. Special Cases

- Employees on extended leave (more than 90 days in the year) receive a pro-rata assessment.
- Employees who transfer teams mid-year are rated by input from both managers.
- Employees who resign before 30 June are not eligible for the annual increment or bonus.
- New joiners after 1 January are assessed on a shorter cycle and are not eligible for the annual bonus.

11. Frequently Asked Questions

Q: When is the performance review cycle?
A: The financial year runs 1 July to 30 June. Mid-year review is in January, annual evaluation in June, and increments take effect on 1 July.

Q: What do the ratings mean?
A: 5 Outstanding, 4 Exceeds, 3 Meets, 2 Needs improvement, 1 Unsatisfactory.

Q: How much increment will I get with a Rating 3?
A: Indicatively 6% to 9% if below the range midpoint, or 4% to 6% at or above it. Final figures depend on the annual budget.

Q: Can I get an increment if I resign in June?
A: No. Employees who resign before 30 June are not eligible for the increment or bonus.

Q: How long is a PIP?
A: 60 days, extendable once by 30 days.

Q: How do I appeal my rating?
A: Submit a written appeal to HR within 10 working days of your rating meeting. A panel replies within 15 working days.

Q: How long before I can be promoted?
A: Minimum 18 months in grade for G1 to G3, and 24 months for G4 and above, with strong performance.

Q: Does a PIP mean I will be fired?
A: No. It is a structured support plan. Termination is considered only if targets are not met after the PIP.